Technology Arrangements (SBITA), which creates a single model for SBITA accounting by requiring entities to report assets and liabilities for agreements previously considered operating expenses. LES has adopted this new GASB standard, effective January 1, 2023, and all 2023 financial statements and figures contained herein reflect the new standard. However, comparative historical information, contained solely in the MD&A section of the Financial Report, has not been restated under the new guidance. This results in immaterial differences in certain year-over-year comparisons in the MD&A section of the Financial Report.

Balance Sheet — This statement presents assets, deferred outflows of resources, liabilities, deferred inflows of resources, and net position. Assets and liabilities are each divided to distinguish current and noncurrent. This statement reveals liquidity, financial flexibility and capital structure.

Statement of Revenues, Expenses, and Changes in Net Position — Operating results are separated into operating revenue and expense, nonoperating revenue and expense, and capital contribution revenue and expense. This statement is useful in analyzing financial health.

Statement of Cash Flows — This statement classifies sources and uses of cash summarized by operating, noncapital financing, capital and related financing, and investing activities.

Notes to Financial Statements — The notes provide additional information to support the Financial Statements.

LINCOLN ELECTRIC SYSTEM

BALANCE SHEET

As of December 31, 2023

	(Dollars in thousands)
Assets and Deferred Outflows of Resources	
Current Assets	
Cash and cash equivalents	$ 148,929
Restricted cash, cash equivalents and investments	22,917
Accounts receivable, net	23,097
Lease receivable	359
Unbilled revenues	17,618
Accrued interest receivable	2,293
Materials, supplies and fuel inventory	31,727
Plant operation assets	17,790
Other current assets	4,546
Total current assets	269,276
Noncurrent Assets	
Restricted cash, cash equivalents and investments	26,005
Lease receivable	6,843
Accrued lease interest	86
Other noncurrent assets	3,636
Total noncurrent assets	36,570
Capital Assets	
Utility plant	1,842,990
Accumulated depreciation	(935,838)
Construction work in progress	104,732
Total capital assets	1,011,884
Deferred Outflows of Resources	
Deferred loss on refunded debt	8,127
Deferred costs for asset retirement obligations	5,190
Total deferred outflows of resources	13,317
Total assets and deferred outflows of resources	$ 1,331,047
Liabilities and Deferred Inflows of Resources	
Current Liabilities	
Accounts payable	$ 21,640
Accrual for payments in lieu of taxes	13,120
Commercial paper	65,500
Accrued software interest	26
Accrued liabilities	25,645
Current maturities of long-term debt	37,800
Current maturities of software liabilities	479
Accrued interest payable	6,375
Total current liabilities	170,585
Noncurrent Liabilities	
Long-term debt, net	528,310
Developer performance deposits	11,919
Health and dental plan reserves	722
Asset retirement obligation	5,190
Software liabilities	960
Total noncurrent liabilities	547,101
Deferred Inflows of Resources	
Reductions of future billings	34,932
Leases	6,827
Total deferred inflows of resources	41,759
Total deferred inflows of resources	759,445
Net Position	
Net investment in capital assets	395,813
Restricted for debt service	12,641
Restricted for employee health insurance claims	2,945
Unrestricted	160,203
Total net position	571,602
Total liabilities and net position	$ 1,331,047

See Notes to the Financial Statements.

LINCOLN ELECTRIC SYSTEM

STATEMENT OF REVENUES, EXPENSES AND CHANGES IN NET POSITION

For the Year Ended December 31, 2023

	(Dollars in thousands)
Operating Revenues	
Electric retail	$ 290,674
Electric wholesale	38,713
Other (includes City Dividend for Utility Ownership)	20,642
Total operating revenues	350,029
Operating Expenses	
Purchased power	76,378
Produced power	61,048
Operations	25,565
Maintenance	12,437
Administration and general	59,032
Depreciation and amortization	35,555
Total operating expenses	270,015
Operating Income	80,014
Nonoperating Revenues (Expenses)	
Interest expense	(17,429)
Payment in lieu of taxes	(13,354)
City Dividend for Utility Ownership	(11,890)
Interest income	10,490
Other income	577
Total nonoperating expenses	(31,606)
Capital Contributions	1,948
Plant Costs Recovered through Capital Contributions	(1,948)
Change in Net Position	48,408
Net Position - Beginning of Year	523,194
Net Position - End of Year	$ 571,602

See Notes to the Financial Statements.

LINCOLN ELECTRIC SYSTEM

STATEMENT OF CASH FLOWS

For the Year Ended December 31, 2023

	2022 (Dollars in thousands)
Operating Activities	
Received from sales to customers and users	$ 355,748
Sales tax receipts	16,127
Paid to suppliers for goods and services	(224,493)
Paid to employees for services	(18,100)
Payments for sales tax	(16,169)
Net cash provided by operating activities	113,113
Noncapital Financing Activities	
Payment in lieu of taxes	(12,740)
City Dividend for Utility Ownership payments	(11,558)
Net cash used in noncapital financing activities	(24,298)
Capital and Related Financing Activities	
Capital expenditures	(51,421)
Net cost/salvage value of retiring plant	(2,442)
Capital contributions	1,470
Capital contributions received in advance	16,060
Cash received from leases	530
Payments for software agreements	(784)
Principal payments on long-term debt	(30,535)
Interest payments on long-term debt	(20,979)
Net cash used in capital and related financing activities	(88,101)
Investing Activities	
Net sales of investments	4,058
Interest received	9,457
Net cash provided by investing activities	13,515
Net Change in Cash and Cash Equivalents	14,229
Cash and Cash Equivalents - Beginning of Year	20,790
Cash and Cash Equivalents - End of Year	$ 35,019
Reconciliation of Cash and Cash Equivalents to the Balance Sheet	
Cash and cash equivalents	$ 148,929
Restricted cash, cash equivalents and investments - current	22,917
Restricted cash, cash equivalents and investments - noncurrent	26,005
Total cash, cash equivalents and investments	197,851
Less: investments not classified as cash equivalents	(162,832)
Total cash and cash equivalents	$ 35,019

LINCOLN ELECTRIC SYSTEM

STATEMENT OF CASH FLOWS – CONTINUED

For the Year Ended December 31, 2023

	(Dollars in thousands)
Reconciliation of Operating Income to Net Cash Provided by Operating Activities	
Operating income	$ 80,014
Noncash items included in operating income	
Depreciation charged to other accounts	1,067
Depreciation and amortization	35,555
Changes in operating assets and liabilities	
Accounts receivable	2,551
Unbilled revenues	(2,134)
Materials, supplies and fuel inventories	(4,036)
Plant operation assets	(4,040)
Other current assets	183
Other noncurrent assets	(279)
Accounts payable	4,994
Sales tax payable	(42)
Accrued expenses	(734)
Health and dental plan reserve	14
Net cash provided by operating activities	$ 113,113
Supplemental Non-cash Activities	
Adjustment of investments to fair value	$ (1,766)
Capital asset acquisitions included in accounts payable	316
Capital asset acquired through addition of software liabilities	1,471

See Notes to the Financial Statements.

Leases

Leases are contracts that convey control of the right to use another entity's nonfinancial asset for a specified period of time in an exchange or exchange-like transaction, without the transfer of ownership of the asset. LES leases communication tower space throughout the service area. LES is considered the lessor in these arrangements.

For lessor contracts, lease receivables and deferred inflows of resources are established at present value utilizing LES' estimated incremental borrowing rate on the date the contract is signed, unless otherwise stated in the contract terms. Amortization of the lease receivable discount results in interest income, and amortization of the deferred inflows of resources, results in other income in the nonoperating section of the Statement of Revenues, Expenses and Changes in Net Position. LES monitors changes in circumstances, that would require a remeasurement of its leases and will remeasure the lease receivable and deferred inflows of resources if certain changes occur that are expected to significantly affect the amount of the lease receivable.

Subscription-Based Information Technology Arrangements (SBITA)

In 2020, GASB issued Statement No. 96, Subscription-Based Information Technology Arrangements, which creates a single model for SBITA accounting by requiring entities to begin reporting assets and liabilities for agreements previously considered operating expenses. This guidance applies to contracts that convey control of the right to use another party's information technology software for a specified period of time in an exchange or exchange-like transaction, without the transfer of ownership of the asset. The subscription term is the period that LES has a noncancellable right to use the underlying asset. LES has identified various arrangements that qualify for the new accounting treatment, under GASB Statement No. 96, which were implemented effective January 1, 2023. SBITA assets and liabilities are reported at present value using LES' incremental borrowing rate unless otherwise noted in the contract terms. SBITA assets are reported in utility plant and SBITA liabilities are reported as software liabilities on the Balance Sheet.

Deferred Loss on Refunded Debt

Costs incurred in connection with the refinancing of various bond issuances are being amortized over the remaining life of the old bonds, or the life of the new bonds, whichever is shorter. Amortization is recorded as a component of interest expense within nonoperating expenses. The deferred loss on the refunded debt balance was $8,127,000 as of December 31, 2023.

Recovery of Plant Costs

Capital contributions are received from customers and other third parties, primarily to offset the costs associated with an expansion of LES' electrical system. LES follows FERC guidelines for recording capital contributions. These guidelines direct the reduction of utility plant by the amount of these contributions. In order to comply with GASB Codification Section N50, *Non-exchange Transactions*, while continuing to follow FERC guidelines, capital contributions are recorded as income and offset by an expense, in the same amount, representing the recovery of plant costs.

Net Position Classification

Net position is required to be classified into three components: net investment in capital assets, restricted and unrestricted. These classifications are defined as follows: